

THE RISING

Inflation control is pushing the rupee up. But the macro problem is the policy logjam that hinders the absorption of increasing inflows triggered by growth.

■ By Shankkar Aiyar

Last week Anil Ambani met bulge bracket investors and pundits of the financial markets. As he held forth on the prospects of the economy, from 500 million mobile subscribers to India being the lowest cost producer of power, Ambani set the cat among the pigeons. The rupee, he said, could be range-bound at around Rs 35 to a dollar in the next few years. It was an informal meet but nothing that an Ambani says is taken casually. Within the cosy club, it fuelled a debate on the value of the rupee, rather the depreciation of the dollar, and its impact on the economy. In the real world, the rupee's appreciation is not just a matter of debate. It is a real worry. Last week, the Indian currency touched a nine-year high of Rs 40.55 to a dollar. Indeed the dollar is cheaper by 9 per cent as it has slid from its January perch of Rs 44.12 to a dollar. Even the British pound has slid from Rs 86.43 to a pound to Rs 80.11 since January.

The impact is just as visible. Exports have slowed down from 26.3

per cent between April and December 2005 to 19.3 per cent between April and December 2006. The worst hit is the gem and jewellery sector, which has slid from 22.5 per cent growth between April and November 2005 to a negative 0.8 per cent. Also hurt badly are textiles and textile products, where export growth has slipped from 21.8 per cent to 8.6 per cent this year. It's early days yet and the full picture would be known only by July as data for the first four months of the year when the rupee slid sharply, will come in. Preliminary reports suggest export growth could be down to a single digit. Not surprisingly, exporters have begun

the rupee chant. S. Sakthivel, executive secretary, Tiruppur Exporters Association, wants the Reserve Bank of India (RBI) to intervene immediately or else Pakistan and China will gain market shares. Even as other exporters join the chorus, Commerce Minister Kamal Nath has voiced his concern: "The rise in the rupee is worrying for exports, the manufacturing sector and the economy at large."

The cause is the consequence of managing a complex economy moving into a higher growth trajectory. To control inflation, RBI has to curb money supply, which has grown 20.8 per cent in 2006-07 compared to 17 per cent

ROUGH RIDE

Rising inflows of almost \$4 bn a month have fuelled the rupee's rise

Graphics by RAM

Dollar cost in rupees

45

40

35

34

49.1

40.6

1996 1997 1998 1999 2000 2001 2002 2003 2004 2005 2006 2007

